Playbook: Indemnification

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK
SECTION 8: INDEMNIFICATION
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Author: Marcus Vance, General Counsel

8.1 Model Clause Language (Preferred Northwind Position)

Northwind Systems (herein "Northwind") shall defend, indemnify, and hold harmless Customer from and against any third-party claims, demands, suits, or proceedings brought against Customer alleging that the standard, unmodified Northwind SaaS platform provided hereunder infringes or misappropriates any valid third-party United States patent, copyright, trademark, or trade secret.

Northwind’s obligations under this Section 8.1 are expressly conditioned upon Customer providing Northwind with:
1. Written notice of any such claim within fourteen (14) calendar days of Customer’s first receipt of notice thereof;
2. Sole control of the defense and settlement of the claim (provided that Northwind shall not settle any claim that requires an admission of liability or financial contribution by Customer without Customer’s prior written consent); and
3. All reasonable cooperation, information, and assistance at Northwind’s expense.

If the Northwind platform becomes, or in Northwind’s reasonable opinion is likely to become, the subject of an infringement claim, Northwind may, at its option and expense:
* Procure for Customer the right to continue using the platform;
* Replace or modify the platform to be non-infringing while retaining substantially equivalent functionality; or
* If neither of the foregoing options is commercially reasonable, terminate the applicable Order Form upon thirty (30) days' written notice and refund to Customer any prepaid, unearned fees for the terminated portion of the subscription term on a pro-rata basis.

Notwithstanding anything to the contrary herein, Northwind shall have no liability or obligation under this Section 8.1 for any claim arising from:
* Modification of the platform by any party other than Northwind or its authorized agents;
* Combination of the platform with software, hardware, data, or processes not supplied or authorized in writing by Northwind;
* Use of the platform in violation of the applicable Master Services Agreement or documentation; or
* Any open-source components or third-party software embedded within the platform.

This Section 8.1 states Customer’s sole and exclusive remedy, and Northwind’s entire liability, for any third-party intellectual property infringement claims.

8.2 Fallback Position

If the counterparty rejects the unilateral indemnity structure or demands mutual indemnification, the legal team is authorized to execute the following fallback provisions, subject to the numerical thresholds in Section 8.4:

1. Mutual Intellectual Property Indemnity: Make Section 8.1 mutual regarding third-party IP infringement, applied strictly to the respective party's proprietary technology (Northwind Platform vs. Customer Data and Customer-provided applications).
2. Customer Indemnity of Northwind: Customer shall defend, indemnify, and hold harmless Northwind, its officers, directors, and employees from and against any third-party claims, demands, suits, or proceedings arising out of or related to:
* Customer Data, including any claim that Customer Data infringes, misappropriates, or violates any third-party privacy, intellectual property, or proprietary right;
* Customer's violation of applicable laws or regulations; or
* Customer's unauthorized use, configuration, or deployment of the Northwind platform outside the scope of the documentation.
3. Operational Mechanics: Retain the fourteen (14) day notice period, but extend the cure period for operational breaches to thirty (30) calendar days following written notice before any indemnifiable claim matures into litigation.

8.3 Walk-Away Position

Legal counsel and sales representatives must immediately cease negotiations and escalate to the General Counsel for executive review if the counterparty insists on any of the following terms, which represent Northwind's absolute walk-away positions:

1. Uncapped Indemnification: Any refusal to cap Northwind's indemnification liability in accordance with the thresholds in Section 8.4.
2. Indemnification of Indirect Damages: Any demand that Northwind indemnify Customer for lost profits, loss of data, business interruption, or consequential, indirect, or punitive damages within the scope of the indemnity.
3. Indemnity for Regulatory Fines: Any attempt to include government fines, GDPR penalties, CCPA statutory damages, or compliance penalties within Northwind's indemnification obligations.
4. Third-Party Content / Open Source Indemnity: Any demand that Northwind indemnify for open-source software libraries, third-party APIs, or public domain data utilized within the platform without an explicit pass-through of indemnity from the underlying vendor.

8.4 Numeric and Categorical Thresholds

The following metrics are mandatory operational baselines for all Northwind SaaS agreements:

* Indemnification Liability Cap (Multiple of Fees): Northwind’s aggregate liability under Section 8 clause shall be strictly capped at one point zero (1.0) times the total fees paid or payable by Customer to Northwind under the applicable Order Form in the twelve (12) months preceding the event giving rise to the claim.
* Notice Period (Days): Counterparty must provide written notice of any indemnifiable claim within fourteen (14) calendar days of discovery. Failure to notify within this window releases Northwind from its indemnity obligations to the extent such failure materially prejudices Northwind's defense.
* Cure Period (Days): For operational breaches subject to indemnity, the breaching party shall be provided a mandatory cure period of thirty (30) calendar days from receipt of written notice to remedy the underlying condition.
* Monetary Floor: Northwind will not process, evaluate, or respond to any indemnification demand or claim where the aggregate damages claimed are less than ten thousand United States Dollars ($10,000 USD). Claims falling below this floor must be handled through standard operational support channels.

8.5 Named Deviations and Escalation Protocol

Any contract modification that deviates from Sections 8.1 through 8.4 requires formal sign-off from the designated executive based on the category of deviation:

1. Super-Capped Indemnity (Cap between 2x and 5x Fees):
* *Description:* Counterparty demands an indemnity cap exceeding standard 1.0x fees but below 5.0x fees.
* *Escalation Target:* Sarah Jenkins, VP of Finance. (Requires verification that account margin and annual contract value exceed $250,000 USD).
2. Joint Defense / Co-Control of Litigation:
* *Description:* Counterparty insists on participating in the selection of legal counsel or maintaining joint control over the defense of an IP infringement claim.
* *Escalation Target:* Marcus Vance, General Counsel. (Under no circumstances shall outside counsel be appointed without General Counsel approval).
3. Indemnification for Data Security / Privacy Breaches via Indemnity Clause:
* *Description:* Counterparty attempts to move data breach, cybersecurity incidents, or unauthorized access claims out of the Limitation of Liability section and into the Indemnification section.
* *Escalation Target:* David Chen, Chief Technology Officer, in consultation with Marcus Vance, General Counsel. (Data security incidents must be governed exclusively by Section 12 [Data Protection & Security] and remain subject to the standard liability cap).

8.6 Worked Examples of Counterparty Language

ACCEPTABLE COUNTERPARTY LANGUAGE (Approved for inclusion without escalation)

* Acceptable Example 1 (Mutual IP Infringement with Standard Mechanics):
> "Each party shall defend the other against any third-party claim that the indemnifying party's technology provided herein infringes any patent or copyright, provided the indemnified party gives prompt written notice within fourteen (14) days, grants sole control of the defense to the indemnifying party, and provides reasonable cooperation."
* *Rationale:* Adheres to Northwind’s fallback position, maintains the 14-day notice requirement, preserves sole control of the defense, and restricts claims to proprietary technology.

* Acceptable Example 2 (Modified Termination Option for IP Risk):
> "If Northwind’s SaaS platform is held to be infringing in a final, non-appealable judicial order, Northwind shall, at its discretion, either procure the right for Customer to continue use, replace the platform with non-functional equivalent software, or terminate the agreement and refund prepaid, unearned fees on a pro-rata basis calculated from the date of termination."
* *Rationale:* Matches the core structural remedies in Section 8.1, explicitly references pro-rata refunds for unearned fees, and avoids open-ended financial liabilities.

UNACCEPTABLE COUNTERPARTY LANGUAGE (Strictly prohibited; triggers walk-away or mandatory escalation)

* Unacceptable Example 1 (Uncapped Indemnity with Indirect Damages Inclusion):
> "Northwind shall indemnify, defend, and hold harmless Customer, its affiliates, directors, and agents from any and all claims, damages, losses, liabilities, costs, and expenses (including full legal fees and consequential or lost profit damages) arising out of or relating to the services, without limitation as to amount or time."
* *Rationale:* Violates walk-away rule 8.3.1 (uncapped) and 8.3.2 (includes indirect/consequential damages and lost profits). Must be rejected immediately.

* Unacceptable Example 2 (Broad Operational and Regulatory Indemnity):
> "Northwind unconditionally guarantees that the platform complies with all local, state, and federal privacy regulations, and Northwind shall fully indemnify Customer for any regulatory fines, penalties, data reconstruction costs, or third-party lawsuits resulting from any security incident or data leak originating from the platform."
* *Rationale:* Violates walk-away rule 8.3.3 (regulatory fines/penalties) and attempts to bypass the security and data protection caps. Requires immediate escalation to David Chen (CTO) and Marcus Vance (GC).